

LULU One Pager

Rule One Investing — Stage 1

Company: Lululemon Athletica Inc. (LULU)

Date: March 2026

Stage: 1 — One Pager (Filter)

For personal research purposes only. Not investment advice.

RULE ONE INVESTING

One Pager

Date: March 2026

Company Information

Field	Value
Company Name	Lululemon Athletica Inc.
Last Price	\$196*
Stock Ticker	LULU
Industry	Athleisure Apparel

Price from most recent reference (Aug 2025). Current price not available in data packet.

Minimum Standards

Standard	Value	Pass?
Market Cap (In Millions)	~\$22,500*	Yes
Company Headquarters	Vancouver, BC, Canada	Note**
Public >= 7 Years?	Yes (founded 1998, IPO 2007)	Yes
Debt < 3 Years Earnings?	Net cash position (0 debt)	Yes

**Market cap from most recent reference. Not available in data packet.* **Lululemon is headquartered in Canada, not the US. The company trades on NASDAQ and files with the SEC. Some Rule One practitioners apply the US HQ filter strictly; others accept large-cap, US-listed foreign companies. Proceed with awareness.*

Meaning KPIs

KPI	Value
In your 3 Circles?	Yes
Number of Gurus	No gurus*
Rule One Score	100 / 100 / 100 (Moat / Management / R1)*
Bigger in 10 Years?	Probably

Guru holdings and Rule One Score from most recent reference (Aug 2025). Not available in data packet.

3 Circles rationale: Lululemon falls within the consumer/retail circle. If you wear athletic apparel, shop at Lululemon, or understand the athleisure trend, you have an inherent edge understanding this business.

Bigger in 10 Years? Probably. Lululemon has significant international expansion runway (currently ~75% North America). The men's category continues to grow. The brand commands premium pricing with cult-like customer loyalty. However, fashion risk and competitive pressure from Nike, Alo Yoga, Vuori, and others are real. Growth is likely but not certain.

Management KPIs

KPI	Value	Pass?
Return on Equity ($\geq 10\%$)	31.8%	Yes
Return on Invested Capital ($\geq 10\%$)	31.8%	Yes
Net-Debt to Earnings (< 3 years)	0 (net cash)	Yes
Net-Debt to FCF (< 3 years)	0 (net cash)	Yes

All management KPIs pass with flying colors. ROE and ROIC of 31.8% are exceptional — well above the 10% minimum. Zero debt means zero financial risk from leverage. This is a company that funds growth entirely from operations.

Company Summary

Lululemon Athletica designs, distributes, and markets athletic apparel, footwear, and accessories for women, men, and girls. The company offers pants, shorts, tops, and jackets for both leisure and athletic activities such as yoga and running. Lululemon also sells fitness accessories, such as bags, yoga mats, and equipment. It sells its products through digital channels, a small number of wholesale partners, more than 760 company-owned stores in about two dozen countries in North America, Asia, and Western Europe, and about 40 franchised locations in the Middle East. The company was founded in 1998 and is based in Vancouver, Canada.

How they make money: Premium-priced athletic apparel sold through company-owned stores and e-commerce. No wholesale dependency. High gross margins (~57%) driven by brand power and vertical integration. Revenue is recurring — customers repurchase regularly.

Why they might be durable: Cult-like brand loyalty, premium positioning that resists discounting, vertical retail model (no middlemen), growing international presence, expanding men's category.

Why they might not be: Fashion risk (athleisure trend could fade), increasing competition (Nike, Alo Yoga, Vuori, On Running), premium pricing vulnerable in economic downturns, concentration in North America (~75% of revenue), recent growth deceleration.

Clarity test: Can you explain what this company does? Yes — they sell premium yoga pants and athletic apparel through their own stores and website. Simple and understandable. PASS.

Growth Metrics

Do we see consistent growth across growth metrics over a long period of time?

Annual Financial Data (in millions, except per-share)

Metric	2019	2020	2021	2022	2023	2024	2025
Revenue	1,397	4,402	6,257	8,111	9,619	10,588	11,103
Earnings	298	589	975	855	1,550	1,815	1,579
Operating CF	669	803	1,389	966	2,296	2,273	1,602
Equity (Book Value)	1,952	2,559	2,740	3,149	4,232	4,324	4,962
FCF	386	574	995	328	1,644	1,583	922
EPS	\$2.29	\$4.52	\$7.52	\$6.70	\$12.23	\$14.67	\$13.27
BVPS	\$15.73	\$20.44	\$22.22	\$25.77	\$34.95	\$37.22	\$44.55

Return Metrics

Metric	2019	2020	2021	2022	2023	2024	2025
ROE	15.3%	23.0%	35.6%	27.1%	36.6%	42.0%	31.8%
ROIC	15.3%	23.0%	35.6%	27.1%	36.6%	42.0%	31.8%
ROA	9.1%	14.1%	19.7%	15.2%	21.9%	23.9%	18.7%

Margin Metrics

Metric	2019	2020	2021	2022	2023	2024	2025
Gross Margin	58.0%	56.0%	57.7%	55.4%	58.3%	59.2%	56.6%
Operating Margin	29.8%	18.6%	21.3%	16.4%	22.2%	23.7%	19.9%
Net Margin	21.3%	13.4%	15.6%	10.5%	16.1%	17.1%	14.2%

Growth Rate Summary

Metric	5-Year CAGR	3-Year CAGR	1-Year
Revenue	20.3%	11.0%	4.9%
Net Income	21.8%	22.7%	-13.0%
Operating Cash Flow	14.8%	18.4%	-29.5%
Equity (Book Value)	14.2%	16.4%	14.7%

Growth Assessment

Positives:

- Revenue has compounded at 20.3% over 5 years and 11.0% over 3 years — strong double-digit growth
- Equity/book value growth is consistent at 14-16% across all timeframes
- All 5-year and 3-year growth rates are solidly double-digit
- Gross margins are remarkably stable (55-59% band across 7 years)
- ROE consistently above 15%, averaging ~30% — exceptional capital allocation

Concerns:

- FY2025 shows deceleration: revenue growth slowed to 4.9%, earnings declined 13%, operating cash flow declined 29.5%
- FCF is volatile: \$328M (2022) to \$1,644M (2023) to \$922M (2025)
- Operating margins compressed from 23.7% (2024) to 19.9% (2025)
- The 1-year growth rates are a clear step down from the 3-year and 5-year trends

Verdict: Growth has been outstanding over 3-5 years but is clearly decelerating in the most recent year. This is not yet a red flag — one year of slower growth after years of rapid expansion can be normal maturation. But it warrants close monitoring. If the deceleration continues into the next fiscal year, growth consistency fails.

One Pager Screening Result

Section	Result
Minimum Standards	**PASS** — Large cap, long public history, zero debt
Meaning KPIs	**PASS** — Understandable business, strong R1 Score, likely bigger in 10 years
Management KPIs	**PASS** — ROE 31.8%, ROIC 31.8%, zero net debt
Company Summary	**PASS** — Simple, clear business model
Growth Metrics	**PASS with caution** — Strong long-term growth, but FY2025 deceleration is notable

Overall: PASS — Proceed to Pitch Deck

Lululemon passes the One Pager filter. The business is simple and understandable, management metrics are exceptional, there is zero debt, and long-term growth has been strong. The recent growth deceleration (FY2025) is worth monitoring but does not disqualify the company at the screening stage. The next step is to build a full Pitch Deck to dig deeper into the business quality, moat durability, management alignment, and valuation.

Data source: LULU-datapacket.json (EDGAR XBRL). Price, market cap, guru, and Rule One Score data referenced from Aug 2025 example — not available in data packet.